



“For the US, IndiGo should choose sectors different from Air India. It should connect cities from where Air India currently doesn’t operate”

JITENDER BHARGAVA
FORMER AIR INDIA
EXECUTIVE DIRECTOR



“Over the next two-four years, IndiGo is expected to steadily expand in regional markets and challenge Air India on select long-haul routes as its fleet and international footprint grow”

MAYUR PATEL
HEAD OF ASIA, OAG
AVIATION

kok, Dubai; Pune-Bangkok, Surat-Dubai, Chandigarh-Abu Dhabi and Coimbatore-Singapore.

Abhijit Dasgupta, EVP, Network Planning and Revenue Management, IndiGo, said in a recent interview to an aviation blogger that IndiGo is evolving into a hybrid “value carrier” and is no longer a pure low-cost carrier airline. “It combines cost-efficiency with select premium offerings like flexi fares and international partnerships, targeting price-sensitive but experience-conscious travellers. This positions IndiGo as a competitor to budget as well as full-service carriers,” he said.

THE LONG-HAUL TEST

The expansion into the US and Canada will require IndiGo to drastically rework its strategy as current operations support five-six hours connectivity. CAPA India Director and CEO Kapil Kaul says long-haul routes are

a different game for which IndiGo will have to get the right cost structure, product, distribution and aircraft. “As you fly long and ultra-long-haul, some of the cost efficiencies that you see in domestic and short-haul international operations will not be the same. The product will play a very important role,” says Kaul.

Market experts say IndiGo will keep cost as competitive as possible to Air India. Lazar, who has been closely tracking IndiGo’s growth, says it will expand the domestic “Stretch” product into a more luxurious “Premium Stretch” product for the A321 XLRs and eventually the Airbus 350s, possibly even with in-flight entertainment, lie flat seats, gourmet hot meals and even alcohol. “We have long held that for Indian carriers, North America is the Holy Grail, whether it was Jet Airways, or Air India and IndiGo. The eventual goal of 6E will be long hauls into the North American continent, probably with a one-stop solution, and eventually maybe ultra long-haul flights when the A-350s get delivered in late 2027/2028,” he says.

Jitender Bhargava, former executive director, Air India, hopes IndiGo does not repeat the mistake made by Jet Airways when it started international operations. “Naresh Goyal (Jet founder) launched flights on sectors where Air India was operating.” Air India will be in a commanding position under the Tatas, he says. “They will continue to improve product quality as new aircraft are inducted, legacy issues are overcome and crew become better trained. For the US, IndiGo should choose cities that are different from the ones Air India flies to keeping in mind that the Indian diaspora is huge there.”

Patel of OAG says as IndiGo continues to evolve into a value-based carrier, its long-haul strategy is expected to focus on a point-to-point model that combines affordable pricing with a segmented product offering tailored to diverse needs.

IndiGo’s long-haul moves will spice up the competition with Air India and other carriers. Elbers says it “will keep both airlines on their toes.”

Long haul has better margins and high load factor (80-90% in case of the US). “Air India has built a long runway into the North American continent. It currently operates about 63 flights weekly into North America (USA/Canada) with plans for at least three more gateways soon at Dallas, Los Angeles and Seattle/Boston. IndiGo will take three years to get its long-haul aircraft. Then, it has to wait until it has the scale to cross these numbers, possibly by 2030, unless they focus deeply on one-stops to the US,” says Lazar. However, the delivery of XLRs and wide bodies may soon help IndiGo overtake Air India in the international market in terms of routes served.